

advice to my friend was to stay with the planner's recommendations and stay grounded with a more conservative portfolio given the age and state of the family.

You must redo your box, but in the opposite direction of the market movement. A rising market changes the nature of the asset allocation you said you were comfortable with. If the thought of 50:50 allocation in equity and debt looked good to you when markets were low, why should that change when markets are high?

If the rise in markets changes your allocation ratio to 60:40, you need to rebalance; that is, sell equity and buy more debt funds or bonds to go back to the 50:50 allocation. In falling markets, the opposite is true. Why will you sell when the price is down? That's the time to buy more to get your allocation back to the level you said you wanted. Be careful that market frenzies and sulks don't sweep you off your feet.

It is usually a good idea to open the box once a year to evaluate if it needs a change. If you have managed funds, it is a good idea to check twice a year that your products are on course. If you are an index-fund or ETF person, you don't need more than an annual check. That, remember, is the purpose of this book. To free your time and mind from worrying about financial security to do more meaningful things.

Things change – you get older, personal situations change, the economic environment changes, the financial products change. You need to look at your money box again to keep it up to date with all these changes. **You are doing OK if ...**

1. you don't watch the stock market tickers and then change your money box;
2. you set up dates twice a year to redo your money box (attaching them to major festivals or birthdays that are about six months apart being a good nudge);